Wages, awards and skills: what the 2026 decisions show about labour market policy

The Fair Work Commission lifted the minimum wage 5.97% and award rates 4.75% from 1 July. Wages growth is 3.2% a year, state tribunals are setting large public sector rises, and the government is leaning on Free TAFE and migration settings to fill skills gaps.

+5.97%
National minimum wage, to $26.44 an hour ($1,004.90 a week) from 1 July 2026

+4.75%
Modern award wages, Annual Wage Review 2026 (decision 2 June)

3.2%
Wage Price Index, year to June quarter 2026 (0.8% in the quarter)

3.4% / 3.1%
WPI annual growth, public / private sector, June quarter 2026

13.1%
Employees who were union members, August 2024 (12.5% in 2022)

814,000+
Free TAFE enrolments since 2023; 258,000 completions (to March 2026)

1. The national system: the Annual Wage Review

- About 21% of employees, almost 2.8 million people, are paid at an award minimum. Award-reliant wages make up about 11.2% of the national wage bill.
- **Submissions:** the federal government sought an above-inflation rise, ACCI asked for 3.5%, and the ACTU asked for 5% then raised it to 6% after the Budget forecast higher inflation.
- **Reasoning:** the Commission called the review "particularly challenging" because of the Middle East war's effect on oil and inflation. It aimed for award-reliant employees to be no worse off in real terms than on 1 July 2025, but did not close the gap to 2021 real wage levels.
- **Safety net detail:** the lowest ongoing classification (C13) is being phased out, so C12 becomes the lowest ongoing rate. The entry-level C14 rate for up to six months is $25.74 an hour.
- **Reactions:** the ACTU said it broadly kept pace with the cost of living. ACCI said it "further decouples wages from productivity" and adds to business costs.
- **Effect on inflation:** ANZ estimated about 0.5 percentage points on annual WPI growth if it fully flowed through (it typically does not) and did not expect a material impact on the cash rate. Headline inflation was 4.2% annualised in April.

2. The state system: NSW Industrial Relations Commission

On 16 April 2026 the Full Bench of the NSW Industrial Relations Commission awarded NSW nurses and midwives 16% over three years, enrolled nurses 18% and assistants in nursing 28%. The first-year step is 10%, 12% and 22%, then 3% in July 2026 and July 2027, backdated to 1 July 2025. The ABS said rises paid to state government public service jobs were the main driver of public sector WPI growth, which has outpaced the private sector for six quarters in a row.

	National system (Fair Work Act)	NSW state system
Body	Fair Work Commission	NSW Industrial Relations Commission
2026 example	Annual Wage Review: +4.75% awards, +5.97% minimum	Nurses and midwives: 16–28% over three years
Who is covered	Most private sector employees and many in other states	NSW public sector employees

Exam angle: use the review to explain the purpose of the safety net and minimum wage, and the NSW case to show that wages are set in more than one system. The ABS data show the effect: public sector wage growth (3.4%) is above private (3.1%).

3. Bargaining, wages growth and unions

- The WPI rose 0.8% in the quarter and 3.2% over the year (3.4% a year earlier; the late-2023 peak was 4.3%). The share of jobs with a wage change under 4% over 12 months rose to 79% from 75%, the highest since June quarter 2022 (84%).
- Union membership was 13.1% of employees (1.6 million) in August 2024, up from 12.5% in 2022. It was 14.1% for women and 12.0% for men, and 3.7% for those aged 15–19 against 20–21% for those aged 55–64.
- The labour market is loosening: unemployment is 4.7% (September), the highest in five years, and employment fell 39,300 in the month.

Method	Argument for	Argument against	Evidence above
Centralised (awards, minimum wage)	Protects low-paid and less powerful workers; wages move with inflation	Less flexible; may raise business costs and unemployment	FWC review; ACTU and ACCI submissions
Decentralised (enterprise bargaining)	Links pay to productivity and each workplace	Weak bargaining power where union density is low	Union membership 13.1%; WPI 3.2%

4. Education, training and migration

- **Free TAFE:** over 814,000 enrolments and 258,000 completions (to Quarter 1, 2026). 35% of enrolments are aged 24 and under, 24% are job seekers and 32% are in regional communities. The government set 100,000 places a year from 2027 under permanent legislation, and says skills shortages fell from 36% of occupations in 2023 to 29% in 2025.
- **2026–27 Budget:** $2.9 billion in 2026–27 for state skills and workforce development (mainly the National Skills Agreement and fee-free TAFE), $85.2 million over four years to speed up migrant skills recognition, and $35.2 million over four years for Jobs and Skills Australia.
- **Migration settings:** net overseas migration forecast to fall from 295,000 in 2025–26 to 245,000 in 2026–27 and 225,000 in 2027–28. The permanent program is 185,000 places, with over 70% in the skill stream.

UPDATE DUE: add these as they are released

Release	Latest on this sheet	New figure (add)
Wage Price Index, September quarter (ABS, mid-November; confirm date)	3.2% a year; public 3.4%, private 3.1%	
Labour Force, October (ABS, mid-November; confirm date)	Unemployment 4.7%, participation 66.8% (September)	
Trade union membership, August 2026 (ABS; expected around December; confirm date)	13.1% (August 2024)	
Annual Wage Review 2027 (FWC, around June 2027)	+4.75% awards, +5.97% minimum	
Free TAFE snapshot, Quarter 3 2026 (DEWR)	814,000+ enrolments	

Syllabus link

HSC 2009 Topic 4 (4F Labour market policies): 4F.1 national and state systems; 4F.2 minimum standards, minimum wages, awards, enterprise agreements; 4F.4 centralised, decentralised and individualised methods; 4F.5 education, training and employment programs. 2025 syllabus: Y2e.1 to Y2e.8.

Try this

1. Outline the role of the Fair Work Commission in setting minimum wages. (2 marks)
2. Explain ONE argument for and ONE against decentralised wage determination. (4 marks)
3. Assess the effectiveness of labour market policies in achieving full employment. (6 marks)

Sources: ABC News, Fair Work Commission annual ruling lifts minimum wage by 6 per cent and award rate by 4.75 per cent, 2 June 2026 — https://www.abc.net.au/news/2026-06-02/minimum-wage-increase-june-2026-australia/106746542 · ABS, Annual wage growth of 3.2% in June quarter 2026, 19 Aug 2026 — https://www.abs.gov.au/media-centre/media-releases/annual-wage-growth-32-june-quarter-2026 · ABS, Trade union membership, August 2024 — https://www.abs.gov.au/statistics/labour/earnings-and-working-conditions/trade-union-membership/latest-release · NSW Health, Nurses and midwives backpay payments commence following historic pay increase, 26 May 2026 — https://www.health.nsw.gov.au/news/Pages/20260526_00.aspx · HR Leader, Mixed emotions: record pay rise for NSW nurses and midwives, April 2026 — https://www.hrleader.com.au/people/28058-mixed-emotions-record-pay-rise-for-nsw-nurses-and-midwives · Prime Minister, Over 800,000 Free TAFE enrolments, 13 July 2026 — https://www.pm.gov.au/media/over-800000-free-tafe-enrolments-delivering-skills-australians-want-jobs-we-need · Chartered Accountants ANZ, Federal Budget 2026-27: Skills measures — https://www.charteredaccountantsanz.com/news-and-analysis/news/federal-budget-2026-27-key-skills-measures · Unemployment and employment figures: earlier items on this site (ABS via ABC News, 15 Oct 2026).